

the impact of traditional investment volatility, meaning that the *rate* assumption in the above formulas has to be further reduced to improve the odds that the plan will work.

The debate today is over whether Bengen took the analysis far enough to provide a sufficiently conservative projection for the safe withdrawal rate. Is a thirty-year planning horizon appropriate for today's retirees? Is it appropriate to assume retirees can annually rebalance and maintain a rather aggressive stock allocation and precisely earn the underlying market returns net of fees and taxes? While a 4 percent spending rate represents the worst-case outcome using US historical data, how do we reflect that we have very little experience with what happens when people retire at times when interest rates are at such low levels as today, while stock market valuations are also well above their historical averages? On the other hand, inflation is also quite low now. What implications does this have? How does spending flexibility impact all of this analysis? We will consider these matters throughout.